Dorman Products (NASDAQ: DORM)

Sector: Auto Parts Wholesaling
Region: United States
Date: April 2026
Recommendation: BUY

Current Price: $105.89
1-Year Target Price: $119.66
5-Year Target Price: $173.28
5-Year Upside: 64%
5-Year CAGR: 10.2%

Stock Price Graph (3Y):

Executive Summary

Dorman Products is a premier "innovation-first" aftermarket supplier with a 100-year legacy and a catalog of over 118,000 replacement parts. The company's proprietary "OE FIX" model, which re-engineers failing original equipment for better durability, creates a significant competitive advantage. Supported by a record-high average U.S. vehicle age of 12.8 years and a high-margin shift into electronics, Dorman represents a classic value play with structural tailwinds. We issue a **BUY** rating with a 1-year target of **$119.66** and a 5-year target of **$173.28**, implying a 64% total upside.

Company Overview

Dorman serves a dual market of professional technicians (B2B) and DIY enthusiasts (B2C). Its success is rooted in a re-engineering strategy that identifies common failure points in OEM parts and provides superior, cost-effective alternatives.

Light Duty: Core automotive segment; benefits from non-discretionary repair cycles.

Heavy Duty: High-growth potential in Class 4-8 truck components.

Specialty Vehicle: Includes SuperATV; targets the high margin powersports niche.

Industry Overview

The $288.8B U.S. auto parts wholesaling industry is highly fragmented, allowing specialized players like Dorman to capture niche market shares.

Aging Fleet: The 12.8-year average vehicle age creates a massive "sweet spot" for repairs.

E-Commerce: Digital platforms are expanding the addressable DIY market.

ICE to EV Transition: While the industry is pivoting, Internal Combustion Engines (ICE) remain dominant for 15-20 years, providing a long runway for Dorman's legacy products.

Barriers to Entry: HIGH (5/5) Replicating Dorman's 118,000-SKU catalog is a multi-decade effort. The "OE FIX" model requires engineering talent to reverse-engineer OEM failure points, plus the distribution scale to hold inventory on thousands of low-velocity parts. "Category Captain" relationships with AutoZone, O'Reilly, and NAPA, where Dorman effectively manages shelf sets, are deeply embedded and rarely re-bid. A new entrant would need to simultaneously build engineering, SKU breadth, and retailer trust.

Bargaining Power of Customers: HIGH

(4/5) Dorman's top three customers (AutoZone, O'Reilly, Advance/NAPA) likely represent most of the revenue, giving them meaningful leverage on pricing, payment terms, and shelf allocation. Retailer consolidation has increased this pressure over the past decade. Dorman's first-to-market "OE FIX" launches, and Category Captain status partially offset this. Retailers rely on Dorman for coverage of breadth on slow-turning SKUs they don't want to source themselves.

Competitive Rivalry: MEDIUM-HIGH (4/5) The aftermarket is highly fragmented with specialized rivals including Standard Motor Products, Motorcar Parts of America, Cardone, and private-label importers, plus OEM dealer channels on the high end. Recent supplier disruption (First Brands bankruptcy, NAPA switching lines) has benefited Dorman. Competitive failures are driving "forced" share gains. Rivalry is intense on commodity parts but much lower in Dorman's complex electronics and heavy-duty niches where re-engineering capability is the moat.

Key Financial Information

Revenue Breakdown:

Dorman reported record net sales of $2.13 billion for fiscal year 2025, representing a 6.0% year-over-year increase from $2.01 billion in 2024. The growth was driven by continued expansion in the complex electronics category and strong demand for "OE FIX" solutions.

Segment Mix (2025 Revenue):

Light Duty: $1.69 billion (79.4% of total) The core driver of non-discretionary repair sales.

Heavy Duty: $232.6 million (10.9% of total) A strategic growth area targeting Class 4-8 truck aftermarket needs.

Specialty Vehicle: $205.7 million (9.7% of total) Includes high margin powersports (UTV/ATV) components.

Customer & Channel Mix: Sales are primarily concentrated in North America, with a dual-market approach serving Professional Technicians (B2B) and DIY+ enthusiasts (B2C). The DIY+ segment is highlighted as a high-growth area, increasing by 8% YoY.

Margin Profile & Profitability:

Dorman maintains a premium margin profile compared to its peer group, supported by its "innovation-first" product strategy.

Gross Margin: 42.1% ($897.7 million). This resilient margin is driven by the shift toward high-margin complex electronics and powertrain parts, though management noted potential pressure from future tariffs.

Net Profit Margin: 9.6% ($204.2 million), reflecting strong operational discipline.

Returns (LTM): The company reported a Return on Equity (ROE) of 19% and a Return on Assets (ROA) of 10%, significantly outpacing comps.

Expense Breakdown:

SG&A Expenses: $541.5 million (25.4% of revenue). While nominal expenses increased by $28 million, SG&A as a percentage of sales decreased by 20 basis points due to improved scale and cost-saving initiatives.

R&D Spending: $34.5 million (1.6% of revenue). Dorman operates an asset-light research model, focusing on re-engineering for high-failure OE parts. In 2025, the company introduced 5,560 new parts, including 1,608 "New-to-the-Aftermarket" (N2A) SKUs.

Balance Sheet & Capital Allocation:

Liquidity: Dorman ended 2025 with $49.4 million in cash and cash equivalents.

Debt Profile: Total debt obligations were approximately $440 million (including current and long-term portions of its term loan). The company proactively repaid $42.1 million of debt in 2025 to de-leverage.

Shareholder Returns: The company repurchased 313,334 shares for $39.8 million in 2025, signaling management's confidence in the long-term value of the stock. Inventory Strategy: Inventories increased to $959.0 million in 2025 (up from $708.0 million) as part of a strategic initiative to ensure high fill rates and capture "forced" share gains from struggling competitors.

Investment Thesis

1. Robust Moat: The "OE FIX" Advantage

Dorman dominates the "first-to-market" window for high-failure components. Its asset-light, engineering-first model allows for a Net Income margin of ~10%, more than double that of its competitors. By reverse-engineering products, Dorman maintains a massive ROIC while keeping R&D spend at just 1.6% of revenue.

2. Operational Transformation & Margin Expansion

Dorm has recently restructured management by introducing segment presidents for each of their three product categories: light duty, heavy duty, and specialty vehicle. New management has prioritized debt reduction, directly leading to an increase in ROE. As the "Heavy Duty" and "Specialty Vehicle" segments are further integrated, management hopes to transfer successful operational implementation from light duty to the other two segments. Heavy duty and specialty vehicle combined are projected to reach 30% of sales by 2028. Reaching this target will allow for greater economies of scale, driving significant efficiency gains across manufacturing and distribution.

3. Non-Discretionary Revenue Resilience

Dorman's revenue is underpinned by essential repair cycles. Recent competitor failures (notably NAPA transitioning lines to Dorman due to supplier bankruptcy at First Brands) have resulted in "forced" share gains where Dorman wins business without additional marketing spend.

Competitive Positioning (4Ms Analysis)

Market: Resilient demand driven by macro commuting trends and an aging national vehicle park.

Moat: Significant SKU depth and "Category Captain" status with major retailers like AutoZone and O'Reilly.

Margin of Safety: Currently trading at ~12.4x LTM P/E, significantly below its 5-year historical average of 21.4x.

Management: Transitioning to a new leadership team with a clear mandate for operational execution and strategic succession.

Risk Analysis

Tariffs and China sourcing transition. Near-term, this is the most active margin threat. Dorman is in the middle of moving sourcing from 70% China (2022) to 30% (2026) while simultaneously absorbing tariff escalations. Execution risk is real. Lead-time slippage, quality issues at new vendors, or a second tariff wave before the transition is complete would directly compress gross margin.

Inventory and working-capital risk. Inventory jumped from $708M to $959M in one year, a deliberate bet to capture "forced" share from struggling competitors. If aftermarket demand softens, the company is sitting on a lot of carrying cost, markdown exposure, and obsolescence risk (especially on ICE-specific SKUs). This is also why FCF conversion has been lumpy and worth flagging.

EV transition (longer term). Only ~35% of revenue is strictly ICE-dependent, and the ICE fleet has a 15-to-20-year runway, so this isn't imminent. It is, however, the risk that defines the terminal value. How well Dorman translates its "OE FIX" engineering capability into EV-specific SKUs (battery cooling, inverters, HV connectors) will determine whether the moat survives the powertrain shift.

Customer concentration. This is the single biggest structural risk. A meaningful chunk of revenue flows through four buyers: AutoZone, O'Reilly, Advance/Carquest, and NAPA. Retailer consolidation has only increased their leverage on pricing, payment terms, and shelf space. Any shift toward private label, loss of Category Captain status, or re-bid of a major line could move the P&L quickly.

Management Profile

Kevin Olsen (CEO/Chairman): A veteran leader since 2016 who has doubled full-year earnings guidance during his tenure.

Charles W. Rayfield (Senior Vice President & CFO): Joining in early 2026 from Lutron Electronics, where he served as CFO, Rayfield brings a strong background in financial strategy for high-margin, innovation-driven companies. He previously held the CFO role at Knoll Inc. and senior positions at Ernst & Young and PwC. His appointment is viewed as a move to sharpen Dorman's capital allocation and manage the financial complexities of a diversifying product portfolio.

Nathan J. Porter (Senior Vice President & COO): Porter is responsible for the unified operations of both Light and Heavy-Duty segments, overseeing distribution, manufacturing, and logistics. He came from ADI Global Distribution, where he was COO, and brings significant operational experience from General Motors and Collins Aerospace. His focus is on optimizing Dorman's asset-light supply chain and managing the strategic shift to reduce China-based sourcing.

Eric B. Luftig – President, Light Duty: An internal promotion from his role as SVP of Product and Engineering, Luftig now leads Dorman's core segment ($1.7B+ in revenue). With 30 years of experience at General Electric and Victaulic, he is tasked with maintaining Dorman's "first-to-market" advantage in electronics and powertrain components.

Steven A. Bashir (President, Heavy Duty: A key external hire to drive growth in the Class 4-8 truck market. Bashir previously led the North American commercial vehicle aftermarket for ZF Services and held leadership roles at Tenneco and Mahle. His deep relationships within the heavy-duty sector are critical as Dorman aims to make this segment a larger contributor to overall EBITDA.

Conclusion & Recommendation

Dorman Products is a high-quality

aftermarket compounder trading at a meaningful discount to its historical multiple. Its "OE FIX" engineering model, 118,000-SKU catalog, and Category Captain relationships form a durable moat, while structural tailwinds from a record 12.8-year average vehicle age and recent competitor failures are driving share gains without incremental marketing spend. The new segment-president structure and disciplined capital allocation position the company for margin expansion as Heavy Duty and Specialty Vehicle scale toward 30% of revenue by 2028. Risks around customer concentration, tariffs, and the China sourcing transition are real but manageable, and the long ICE runway gives Dorman ample time to adapt its engineering capability to the EV aftermarket.

Final Recommendation: **BUY**

Current Price: $105.89

1-Year Target Price: $119.66

5-Year Target Price: $173.28

Expected 5-Year Return: 64% (10.2% CAGR)

Appendix

Revenue Model:

Dorman Products (DORM) — Revenue Model

$ in millions unless noted

	FY 2023	FY 2024	FY 2025	FY 2026E	FY 2027E	FY 2028E	FY 2029E	FY 2030E
SEGMENT REVENUE								
Light Duty Net Sales	$1,425.2	$1,565.6	$1,692.0	$1,861.2	$2,038.0	$2,211.2	$2,388.1	$2,579.2
YoY Growth (%)		9.9%	8.1%	10.0%	9.5%	8.5%	8.0%	8.0%
Heavy Duty Net Sales	$237.5	$231.5	$232.6	$239.6	$249.2	$261.6	$273.4	$285.7
YoY Growth (%)		-2.5%	0.5%	3.0%	4.0%	5.0%	4.5%	4.5%
Specialty Vehicle Net Sales	$267.1	$212.1	$205.7	$208.8	$224.2	$240.6	$258.1	$276.6
YoY Growth (%)		-20.6%	-3.0%	1.5%	7.4%	7.3%	7.3%	7.2%
Total Net Sales	**$1,929.8**	**$2,009.2**	**$2,130.3**	**$2,309.6**	**$2,511.4**	**$2,713.5**	**$2,919.6**	**$3,141.5**
Total YoY Growth (%)		4.1%	6.0%	8.4%	8.7%	8.0%	7.6%	7.6%
REVENUE MIX								
Light Duty % of Total	73.9%	77.9%	79.4%	80.6%	81.2%	81.5%	81.8%	82.1%
Heavy Duty % of Total	12.3%	11.5%	10.9%	10.4%	9.9%	9.6%	9.4%	9.1%
Specialty Vehicle % of Total	13.8%	10.6%	9.7%	9.0%	8.9%	8.9%	8.8%	8.8%
SEGMENT PROFITABILITY								
Light Duty Segment Margin	15.7%	18.2%	20.5%	20.0%	20.0%	20.0%	20.0%	20.0%
Light Duty Segment Profit	$223.8	$284.9	$346.9	$372.2	$407.6	$442.2	$477.6	$515.8
Heavy Duty Segment Margin	3.5%	2.8%	2.2%	4.0%	5.0%	6.0%	6.0%	6.0%
Heavy Duty Segment Profit	$8.3	$6.5	$5.1	$9.6	$12.5	$15.7	$16.4	$17.1
Specialty Vehicle Segment Margin	14.4%	15.2%	13.1%	13.5%	14.0%	16.0%	17.0%	17.0%
Specialty Vehicle Segment Profit	$38.5	$32.2	$26.9	$28.2	$31.4	$38.5	$43.9	$47.0
Total Segment Profit	**$270.5**	**$323.7**	**$378.9**	**$410.0**	**$451.4**	**$496.4**	**$537.9**	**$580.0**

Dorman Products — Light Duty EV Expansion Thesis

$ in millions unless noted

	FY 2024	FY 2025	FY 2026E	FY 2027E	FY 2028E	FY 2029E	FY 2030E
MARKET CONTEXT							
US Light Vehicle Aftermarket ($B)	415.00	435.00	460.23	486.92	515.16	545.04	576.66
Aftermarket Growth Rate (%)		4.82%	5.80%	5.80%	5.80%	5.80%	5.80%
Aftermarket CAGR Assumption	5.8%						
US EV Aftermarket ($B)	23.50	28.51	34.58	41.94	50.88	61.71	74.86
EV Aftermarket Growth CAGR (%)	21.3%						
EV Share of Total Aftermarket (%)	5.66%	6.55%	7.51%	8.61%	9.88%	11.32%	12.98%
US Vehicles in Operation (mm)	289						
Average Vehicle Age (years)	12.8						
Dorman Light Duty Revenue ($mm)	**1565.6**	**1692**	**1861.20**	**2038.01**	**2211.25**	**2388.14**	**2579.20**

Dorman Products — Powersports Market Opportunity (SuperATV)

$ in millions unless noted

ACQUISITION CONTEXT

Acquisition Price (cash at closing)	$490
Earn-Out (up to)	$100
Net Transaction Value (tax-adjusted, pre-earnout)	$445
SuperATV FY2021 Net Sales	$211
Implied Acquisition EV/Revenue	2.3x
Dealer / Installer Network	3,500+
Closed	Oct-22

US POWERSPORTS AFTERMARKET — TAM

	FY 2023	FY 2024	FY 2025E	FY 2026E	FY 2027E	FY 2028E	FY 2029E	FY 2030E
US Powersports Aftermarket TAM ($B)	$4.45	$4.72	$4.94	$5.17	$5.42	$5.67	$5.94	$6.22
TAM Growth Rate (%)		6.1%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%
Market Growth CAGR Assumption	4.7%							
Dorman Specialty Vehicle Revenue ($mm)	$267.1	$212.1	$205.7	$208.8	$224.2	$240.6	$258.1	$276.6
Implied US Aftermarket Share (%)	6.0%	4.5%	4.2%	4.0%	4.1%	4.2%	4.3%	4.4%

Sources:

TAM: Global Market Insights (gminsights.com), US ~85% of NA powersports aftermarket, $4.72B in 2024, 6.3% CAGR

Acquisition: Dorman Products IR (investors.dormanproducts.com), Aug/Oct 2022 press releases

SCENARIO ANALYSIS — SPECIALTY VEHICLE REVENUE

	FY 2025E	FY 2026E	FY 2027E	FY 2028E	FY 2029E	FY 2030E
BEAR CASE — Slow Integration						
Target Market Share (%)	3.8%	3.9%	4.0%	4.1%	4.2%	4.3%
Implied Revenue ($mm)	$187.8	$201.8	$216.7	$232.5	$249.4	$267.4
YoY Growth (%)		7.5%	7.4%	7.3%	7.3%	7.2%
Segment Margin	12.0%	12.5%	13.0%	13.5%	14.0%	14.0%
Segment Profit ($mm)	$22.5	$25.2	$28.2	$31.4	$34.9	$37.4
BASE CASE — Steady Capture						
Target Market Share (%)	4.1%	4.4%	4.7%	5.0%	5.3%	5.5%
Implied Revenue ($mm)	$202.6	$227.7	$254.6	$283.6	$314.7	$342.0
YoY Growth (%)		12.4%	11.8%	11.4%	11.0%	8.7%
Segment Margin	13.1%	14.0%	15.0%	16.0%	17.0%	18.0%
Segment Profit ($mm)	$26.5	$31.9	$38.2	$45.4	$53.5	$61.6
BULL CASE — Accelerated Capture + Synergies						
Target Market Share (%)	4.5%	5.0%	5.6%	6.2%	6.8%	7.3%
Implied Revenue ($mm)	$222.4	$258.7	$303.4	$351.7	$403.8	$453.9
YoY Growth (%)		16.3%	17.3%	15.9%	14.8%	12.4%
Segment Margin	14.0%	15.5%	17.0%	18.5%	20.0%	21.0%
Segment Profit ($mm)	$31.1	$40.1	$51.6	$65.1	$80.8	$95.3

Dorman Products — Powersports Market Opportunity (SuperATV)

$ in millions unless noted

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Segment Margin	14.0%	15.5%	17.0%	18.5%	20.0%	21.0%
Segment Profit ($mm)	$31.1	$40.1	$51.6	$65.1	$80.8	$95.3

Valuation Calculation

DORMAN PRODUCTS

Drivers

Target Price

Valuation

Multiple	Value	Wieght
DCF	$ 4,991.82	40.00%
TEV / EBITDA	$ 3,888.25	30.00%
P/E	$ 3,283.02	30.00%
		100.00%

Enterprise Value	$	4,148.11
Net Debt:	$	511.53
Equity Value	$	3,636.58
# Shares		30.39
Target Price (1Y)	**$**	**119.66**
Target Price (5Y)	**$**	**173.28**
Current Price:	$	105.89
Upside (5Y)		64%
CAGR (5Y)		10%

DORMAN PRODUCTS Drivers	Historicals		Projections				
Key Assumptions	2024y	2025y	2026y	2027y	2028y	2029y	2030y
Revenue Growth (Differentiated)		6.03%	8.40%	8.70%	8.00%	7.60%	7.60%
Revenue Growth (Consensus)		6.03%	7.34%	5.22%	7.33%	7.00%	7.00%
Revenue Projections	$ 2,009.20	$ 2,130.32	$ 2,286.75	$ 2,406.13	$ 2,582.50	$ 2,763.28	$ 2,956.70
Operating Margin (Differentiated)	14.58%	14.06%	16.20%	17.80%	18.00%	18.30%	18.40%
Operating Margin (Consensus)	14.58%	14.06%	14.79%	15.45%	15.16%	16.29%	17.51%
EBIT Projections	$ 292.91	$ 299.55	$ 338.14	$ 371.86	$ 391.50	$ 450.23	$ 517.76
CAPEX (Differentiated)		$ 40.53	$ 40.55	$ 42.95	$ 46.50	$ 46.50	$ 46.50
CAPEX (Consensus)		$ 40.53	$ 40.55	$ 42.95	$ 46.50	$ 46.50	$ 46.50

DORMAN PRODUCTS Discounted Cash Flows	Historicals	LTM	Projections					
Income Statement	2024y	2025y	2026y	2027y	2028y	2029y	2030y	Terminal
Total Revenue	$ 2,009.20	$ 2,130.32	$ 2,309.27	$ 2,510.17	$ 2,710.99	2917.020585	$ 3,138.71	$ 40,764.75
growth		6.03%	8.40%	8.70%	8.00%	7.60%	7.60%	2.00%
Cost of Goods Sold	$ 1,202.84	$ 1,232.58	$ 1,336.12	$ 1,452.36	$ 1,568.55	$ 1,687.76	$ 1,816.03	$ 23,586.09
Gross Profit	$ 806.36	$ 897.74	$ 973.15	$ 1,057.81	$ 1,142.44	$ 1,229.26	$ 1,322.68	$ 17,178.66
Check	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
margin	40%	42%	42%	42%	42%	42%	42%	42.1%
Other Income	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Operating Expenses	$ (456.75)	$ (542.46)	$ (556.49)	$ (622.05)	$ (662.56)	$ (717.89)	$ (769.77)	$ (9,997.56)
EBITDA	$ 349.61	$ 355.28	$ 416.65	$ 435.76	$ 479.88	$ 511.37	$ 552.91	$ 7,181.10
D&A	$ (56.70)	$ (55.73)	$ (42.55)	$ -	$ -	$ -	$ -	$ -
EBIT	$ 292.91	$ 299.55	$ 374.10	$ 446.81	$ 487.98	$ 533.81	$ 577.52	$ 7,500.71
margin	14.58%	14.06%	16.20%	17.80%	18.00%	18.30%	18.40%	18.40%
Interest Expense	$ (39.73)	$ (28.58)	$ (30.98)	$ (33.67)	$ (36.36)	$ (39.13)	$ (42.10)	$ (546.80)
Unusual Items	$ (76.38)	$ (52.68)	$ (40.00)	$ (40.00)	$ (40.00)	$ (40.00)	$ (40.00)	$ (40.00)
Pre-Tax Income	$ 256.25	$ 275.45	$ 303.13	$ 373.14	$ 411.61	$ 454.69	$ 495.42	$ 6,913.92
Income Taxes	$ (66.25)	$ (71.25)	$ (78.39)	$ (96.51)	$ (106.45)	$ (117.60)	$ (128.13)	$ 1,664.10
Implied Tax Rate	25.85%	25.87%	25.86%	25.86%	25.86%	25.86%	25.86%	25.86%
Net Income (After-tax)	$ 190.00	$ 204.19	$ 224.74	$ 276.63	$ 305.16	$ 337.09	$ 367.29	$ 4,770.31
margin	9.46%	9.59%	9.73%	11.02%	11.26%	11.56%	11.70%	11.70%

FCF Calculation	2024y	2025y	2026y	2027y	2028y	2029y	2030y	Terminal
NOPAT	$ 295.84	$ 278.05	$ 287.70	$ 341.59	$ 372.12	$ 406.10	$ 438.51	$ 5,215.69
D&A	$ 56.70	$ 55.73	$ 42.55	$ -	$ -	$ -	$ -	$ -
Stock-Based Comp	$ 15.01	$ 19.64	$ 20.62	$ 21.65	$ 22.73	$ 23.87	$ 25.06	$ 26.31
Other Non-Cash Effects	$ (9.95)	$ 57.59						
CapEx			$ 40.55	$ 42.95	$ 46.50	$ 49.76	$ 53.24	$ 691.44
NWC	$ 230.62	$ (230.62)	$ 7.54	$ (131.78)	$ (66.74)	$ (112.47)	$ (99.14)	$ (1,313.38)
Free Cash Flows			**$ 302.78**	**$ 452.07**	**$ 415.09**	**$ 492.68**	**$ 509.47**	**$ 5,863.95**

Final Calculations

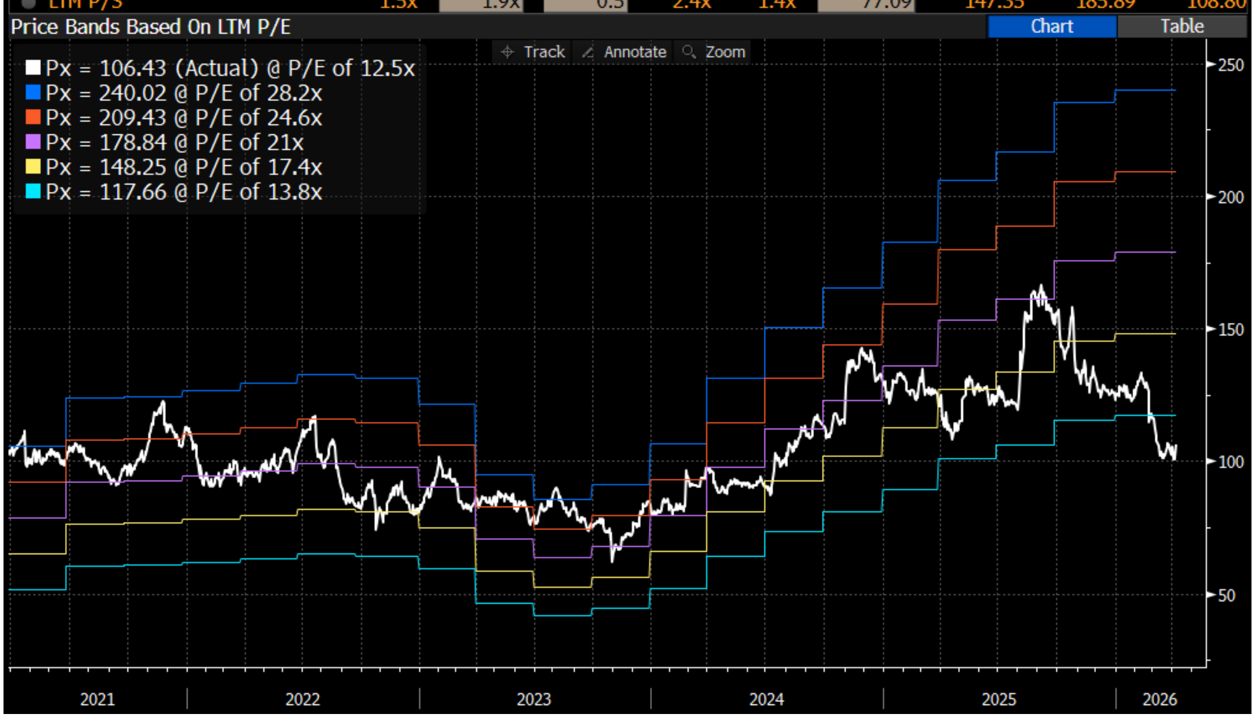
			1	2	3	4	5
Free Cash Flows			$ 302.78	$ 452.07	$ 415.09	$ 492.68	$ 509.47
Timing of cash flow			2026y	2027y	2028y	2029y	2030y
Discount Year			0.5	1.5	2.5	3.5	4.5
Discounting factor		9.70%	1.0970	1.2034	1.3201	1.4482	1.5886
Present values of cash flows			**$ 276.01**	**$ 375.66**	**$ 314.43**	**$ 340.21**	**$ 320.70**
PV of Terminal Value	$	**3,364.81**					
Enterprise value	$	**4,991.82**					
Debt value	$	523.18					
Equity Value	$	**4,468.64**					

Bloomberg Reports:

EEG:

<u>P/E Bands:</u>

Valuation Metric Bands							12M Fwd Implied Price @		
Metric	Current	5Y Avg	Band (x)	Avg+x	Avg-x	Est (USD)	5Y Avg	Avg+x	Avg-x
Current Price							106.44	106.44	106.44
LTM P/E	12.5x	21.0x	3.6	24.6x	17.4x	8.55	179.98	210.76	149.19
LTM P/BV	2.2x	2.9x	0.5	3.4x	2.4x	--	--	--	--
LTM P/CF	28.7x	29.1x	15.5	44.6x	13.6x	--	--	--	--
LTM P/S	1.5x	1.9x	0.5	2.4x	1.4x	77.09	147.35	185.89	108.80



<u>P/CF Bands:</u>

								12M Fwd Implied Price @		
	Valuation Metric Bands									
Metric	Current	5Y Avg	Band (x)	Avg+x	Avg-x	Est (USD)	5Y Avg	Avg+x	Avg-x
Current Price							106.44	106.44	106.44
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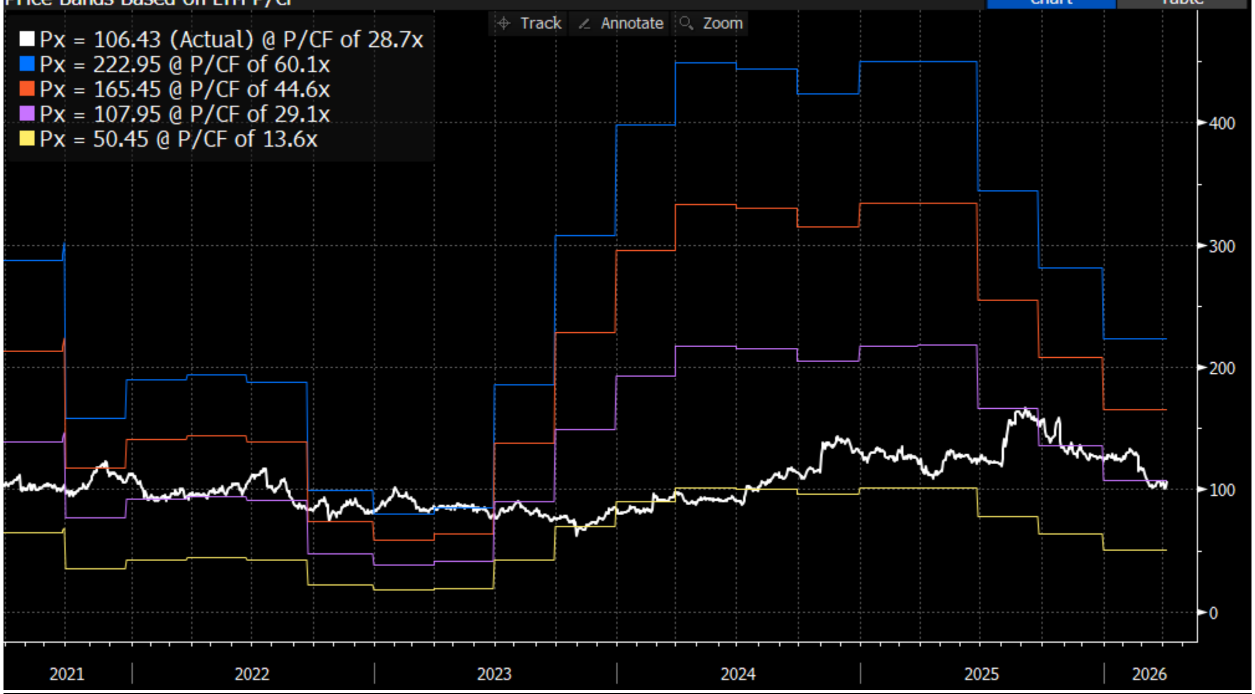
LTM P/BV	2.2x	2.9x	0.5	3.4x	2.4x	--	--	--	--
LTM P/CF	28.7x	29.1x	15.5	44.6x	13.6x	--	--	--	--
LTM P/S	1.5x	1.9x	0.5	2.4x	1.4x	77.09	147.35	185.89	108.80

Price Bands Based On LTM P/CF



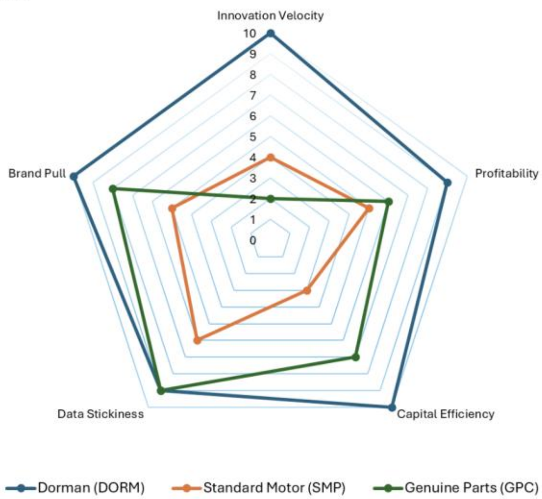
Key Metrics:

Metric	**Value**
Market Cap	$4.0B
FYE Revenue Growth	4.1%
Gross Margin	41.9%
EBITDA Margin	19.3%
Net Profit Margin	11.6%
ROE	19%
ROA	10%
Debt to Equity Ratio	1.2x

P/E Ratio - Current	15.6x
P/E Ratio - 5YR Avg.	21.4x

Company	DORMAN PRODUCTS	GENUINE PARTS CO	LCI INDUSTRIES	STANDARD MOTOR	BORGWARNER INC
Market Cap (bn)	$4.0	$16.2	$3.6	$1.0	$12.2
FYE Revenue Growth	4.1%	3.5%	10.2%	7.8%	1.6%
Gross Margin	41.9%	36.8%	23.8%	30.8%	18.7%
EBITDA Margin	19.3%	6.2%	11.0%	10.2%	8.8%
Net Profit Margin	11.6%	0.3%	4.6%	1.8%	1.9%
ROE	19%	0%	12%	13%	18%
ROA	10%	0%	6%	5%	7%
Debt to Equity Ratio	1.2x	4.0x	2.2x	3.5x	1.4x
P/E Ratio - Current	15.6x	20.11x	21.5x	11.8x	13.2x
P/E Ratio – 5YR Avg.	21.4x	18.5x	21.0x	11.3x	10.9x

Moat



- First-to-market, significant depth in number of SKUs
- NI% of ~10% which is more than double comps, as well as high operating margin
- Reverse-engineer the products they produce, keeping overall R&D spend low
- Integrated heavily with their customers - providing data to be mutually beneficial
- Long history of performing so lots of trust in the market